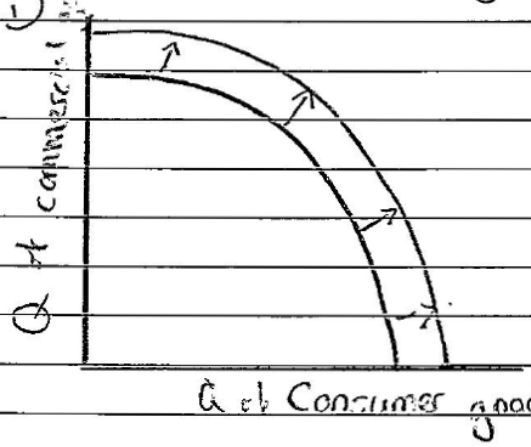
2 a

i) Two sustainable development goals:
- Education for all - ensure schooling is provided to all children
- Reduce ocean pollution - minimise pollutants put into the ocean.

ii) Tariffs are taxes placed on imports by the government on goods coming into a country, this has the effect of increasing price of the good for domestic consumers.

2 b

i)



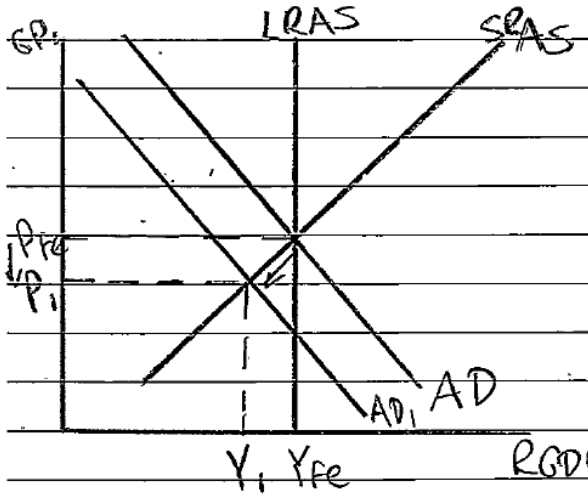
ii) $ 29882 ÷ 389.6 = $7669.92 M
100

2 c

Low education → low employment → low income → low standards of living → low education

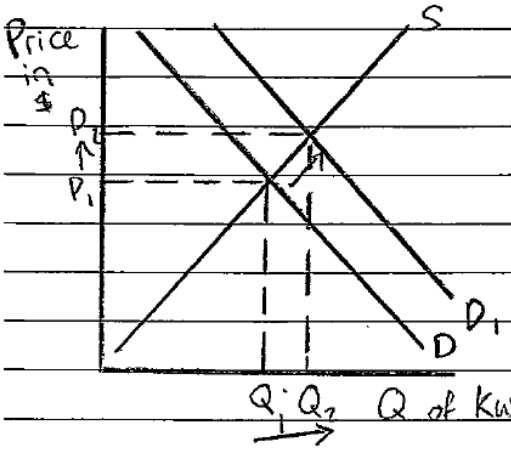
With an increase in funds for education of teenage girls, the poverty cycle is broken as the level of education is improved. Hence employment, income and SoL also rise.

2 d



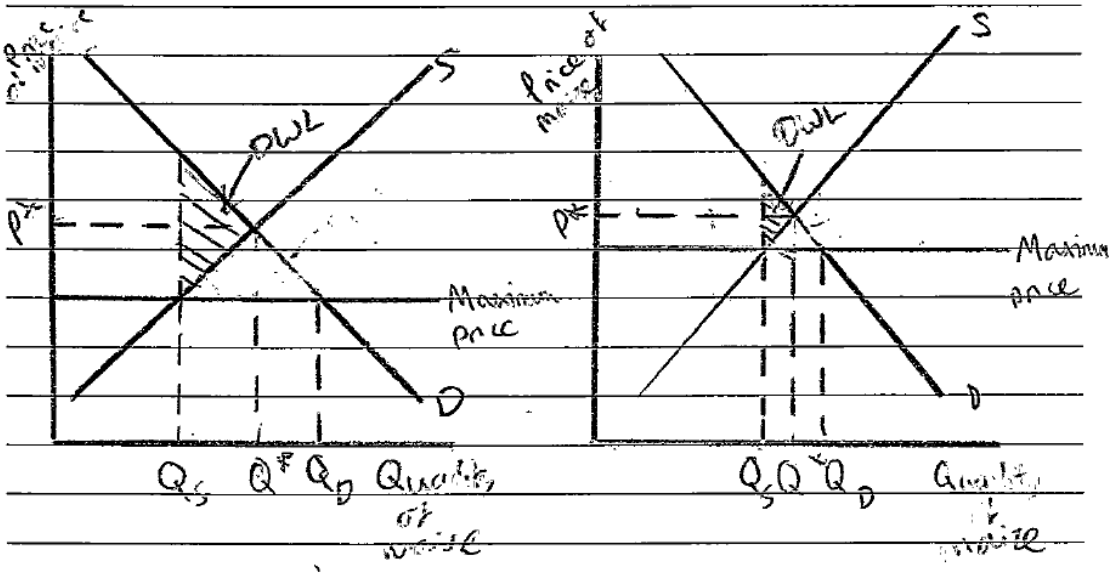
As AD = C + I + G + (X − M), and G is decreasing, AD shifts inwards to AD_1, which causes the general price level to decrease from P_{fe} to P_1, and hence inflationary pressures reduce.

2 e



A reduction in the current account deficit would mean that exports are increasing, and imports are decreasing, hence more economic agents in foreign countries demand the Kwacha to buy their exports, and hence the Kwacha appreciates

2 f



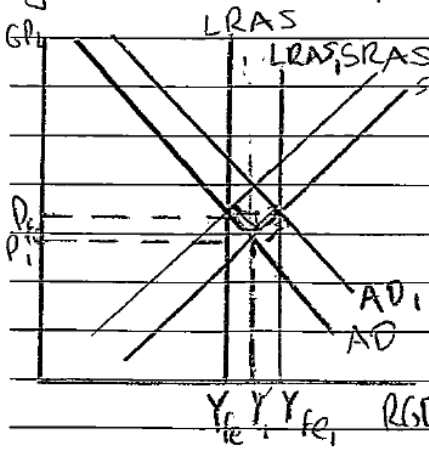
As in the above diagrams, an increase in the maximum price would decrease the deadweight welfare loss as the excess demand is reduced, and hence more consumers are able to access the good.

2 g

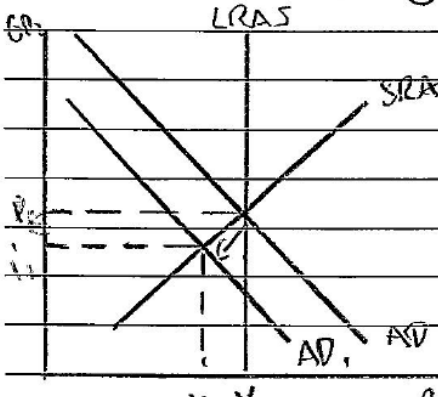
~~Increase investment in education~~
~~Reduce G spending~~
~~Rising exports, Low imports~~
~~Tariffs reduced~~
~~Taxes ↑~~
~~↑ investment in agriculture vs child labour~~

Economic growth is an increase in RGDP, whereas economic development is a multidimensional concept which is often associated with economic growth, however economic development occurs only when there is an improvement in SoL and welfare in an economy. In the case of Malawi, multiple steps have been taken by the government, in order to promote economic growth and development, with varying success.

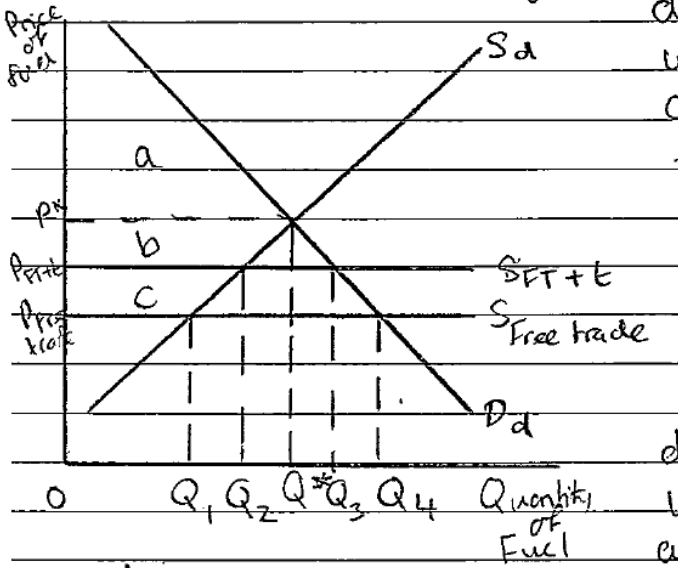
One policy that Malawi has chosen is, with the assistance of "The World Bank's Human Capital Project", increasing investment and encouraging reforms, such as promoting the education of teenage girls." With this policy, SRAS would shift outwards to SRAS, as education improves the productivity of workers, and hence the Cost of Production would fall. Due to this, the quality of labour would also improve, and hence LRAS would shift outwards to LRAS, . As the productive potential of the economy increases,



C would also increase, due to lower unemployment as the quantity of educated workforce members would increase. This would further improve employment as D_L is a derived demand. Hence, a policy such as this would cause economic growth, as there is an increase in RGDP. Equally, this could also cause economic development, as a decrease in unemployment would result in greater standards of living, and welfare, due to higher real incomes of HHs. However, due to already high inflationary pressures (14% in 2020) and a large budget deficit (60% of GDP), Malawi intends to cut government spending in order to reduce inflation. This may cause the effects of the policy to be short term, as AD=C+I+G+(X-M) and therefore a decrease in government spending would cause an inward shift of AD ($AD \rightarrow AD_1$) which would increase unemployment, as D_L is a derived demand. Hence the economic development of this policy may be limited

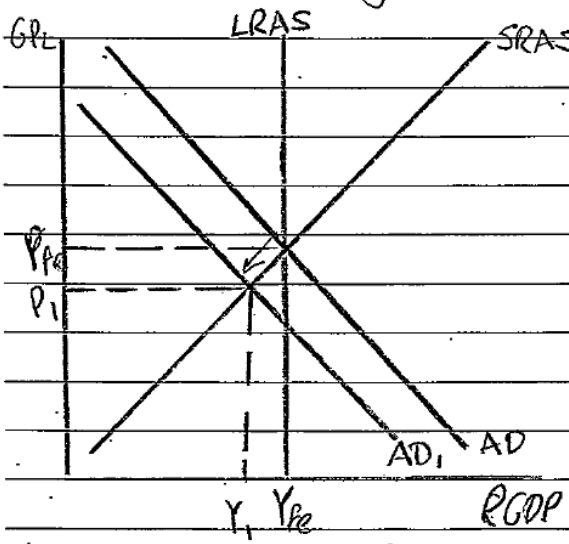


Furthermore, another strategy that Malawi is using is the reduction of tariffs, in order to improve economic growth and development. This is known as economic integration. With free trade, domestic producers would produce OQ_1 amount of fuel and therefore Malawi would import Q_1Q_4 amount in order to satisfy domestic demand. With a tariff imposed, domestic producers would produce OQ_2 amount and Malawi would import Q_2Q_3 amount in order to satisfy domestic demand. With the reduction of tariffs, domestic producers would hence reduce their production, which could affect economic growth and development, as domestic unemployment may result. However, consumer welfare would increase, due to an increase in consumer surplus from a+b to a+b+c, and hence importing fuel would be more affordable. It could therefore be argued that this policy improves economic development, as domestic producers are less productively efficient than larger foreign firms, and hence are then able to produce goods which their country has comparative advantage in, such as the agricultural industry. In the event that the Malawian government then exports its goods (such as cotton, nuts, tea



and sugar) then economic growth would also be achieved, as increasing exports would improve RGDP. However, in some areas of Malawi's exports, such as tobacco, the global demand is falling, and as a result, agricultural workers adopt child labour. This has resulted in some countries placing tariffs on imports from Malawi, such as the USA. This would hinder the economic development of Malawi, as exports will be harder to produce and sell, and hence producer welfare would fall.

Finally, there are policies that the Malawian government have adopted, that are stopping the potential of economic growth and development. For example, the government is reducing its spending and adopting "contractionary fiscal policies" such as raising "indirect and direct taxes". Although these policies will combat inflation, they will also cause the economy to contract in the short run. Due to taxes rising, real incomes would fall, as well as disposable income. This would cause C to fall, also due to consumer confidence falling. Hence, AD would shift inwards to AD_1. Firms would find that they accumulate stock, and hence have to fire workers. Unemployment therefore rises, as D_L is a derived demand. This would reduce the effectiveness of other policies,



which are aimed at improving economic development and growth, as RGDP decreases, as well as welfare being reduced, due to unemployment rising, possibly even causing poverty to arise, where workers have been fired. Another hinderance on growth and development is the limited availability of infrastructure, due to misallocation of government funds. For example, "inadequate road and rail links to markets" and "limited availability of electricity and fuel" both of which would cause the economy to operate within its productive potential and therefore struggle to achieve economic growth and development. However, it could be argued that the inflationary pressures caused by other growth and development policies, such as "investment in education" requires measures to combat these negative effects, and in that sense, these policies may help economic growth and development.

In summary, the Malawian government adopts many policies that promote ~~development~~ growth in the short run, such as reducing tariffs and promoting manufacturing industries, which allows AD to shift outward. However, it is through supply-side policies such as the increase in investment in education of teenage girls, that will help the government to achieve economic development, and this is evident through the increase in secondary school enrolement for females increasing from 31.9% to 40.6% between 2010 and 2018. Therefore, the best approach for Malawi is to encourage more education and improve the productive potential of the economy, via supply-side policies.